



The Retail Test

This is the bear market test for Indian retail investors. Waxing and waning is the very nature of the market, though the reasons keep changing each time

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THE WORD *Atmanirbhar* has recently been thrown around quite a lot, in expressing a general yearning for economic self-sufficiency in a whole gamut of spheres, often in misguided or delusional tones. Such jingoistic dreams aside, the one area where it can indeed be applied for the year gone by, without gross exaggeration, is the Indian stock market. This bears mention as it is perhaps one of the very few instances where the Indian market has not capitulated in the face of relentless selling from foreign investors. While it would be a stretch to suggest that foreign institutional investors or FIIs were always solely instrumental in shaping market trends, in the absence of a solid counter-balance from the domestic investor fraternity, major bouts of selling or buying from FIIs would indeed determine significant market swings over short periods of time. This gave rise to the phenomenon of waiting, with bated breath, for the 'FII numbers' at

the end of each trading day. But that was then.

FIIs matter, and always will, but not that *much* any more. In 2022, till date, they have sold over \$22 billion of Indian shares, but the Nifty is down less than 10 per cent. In previous years, the index would probably have collapsed 25 per cent after such an onslaught, but not this time. This is because domestic investors have pumped in \$23 billion during this period, fully soaking up the supply from foreigners. This is nothing short of remarkable. Not only has this lent stability to the market, it has also erased India's usual underperformance relative to other emerging markets, during phases of FII withdrawal.

It has also led to some quirky shifts in the internal dynamics of large-cap stocks. Earlier, blue-chip shares would plateau when the stipulated FII holding limit in their counters was exhausted as investors feared it robbed them of their most potent technical trigger. Now, the opposite is true, as investors shun stocks heavily owned by these same

FIIs, as these marquee names bear the brunt of relentless selling. The hallowed HDFCs and Infosys-es of the world, perennial darlings of global investors, are now among the biggest under-performers. How times change.

Taking centre stage now are local investors who, after decades, seem finally to have warmed up to the idea of equity investing. Early days yet, but the signs, over the past two to three years, have been very encouraging; enough even to hope that this may not be a flash in the pan. Flows into domestic mutual funds and portfolio management services or PMS schemes have been consistently robust, new demat account openings have sustained through ups and downs, and even the brutal Covid-19 drawdown didn't seem to shake new investors off. Most hearteningly, systematic investment plans or SIPs have continued to grow at a steady pace, indicating that equity investing may be becoming a habit, or an integral part of asset allocation, rather than the occasional